CASCADIA ANALYTICS

# Valero Energy Corporation

Equity Research Note | VLO | 21 OCTOBER 2026

## Cyclical Peak Earnings

Valero Energy screens as a Hold, Valuation Concerns with a $337.51 blended target, 22% below the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $433.42 | $337.51 | -22% | HOLD, VALUATION CONCERNS |

### Investment Thesis

Cyclical Peak Earnings. Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26]. Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026]. Priced for the Cycle. At $433.42 [Mkt 16-Oct-26], the stock

- Cyclical Peak Earnings
- Best Operator in Refining
- Priced for the Cycle

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## The latest print

**Best Operator in Refining.** 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total.

**Priced for the Cycle.** At $433.42, the stock sits between our $332.47 DCF base and $474.11 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

| $44.5B | $3.72B | 8.36% | 97% | $122.7B | $2.35B |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | NET INCOME (Q2 2026) | NET MARGIN (Q2 2026) | REFINERY UTILIZATION | REVENUE (FY25) | NET INCOME (FY25) |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 2026)** | $44.5B | +38% | Up |
| **Net Income (Q2 2026)** | $3.72B | +340% | Up |
| **Net Margin (Q2 2026)** | 8.36% | +6.4 pts | Up |
| **Refinery Utilization** | 97% | Record | Up |
| **Revenue (FY25)** | $122.7B | -5.5% | Down |
| **Net Income (FY25)** | $2.35B | -15.2% | Down |
| **Net Margin (FY25)** | 1.91% | -0.2 pts | Down |

## The moat

97% refinery utilization; Gulf Coast and North Atlantic throughput records

## The growth engine

Crack spreads at extraordinary levels on Russian/Middle East disruptions

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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| SCENARIO | WEIGHT | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | -2.0% | $122.15B | 4.9% | **$210.98** | -51% |
| **Base** | 50% | -0.3% | $130.85B | 7.8% | **$332.47** | -23% |
| **Bull** | 25% | 2.0% | $143.35B | 10.6% | **$474.11** | +9% |

**Bear:** downside case at $210.98 (-51%).

**Base:** central case at $332.47 (-23%).

**Bull:** upside case at $474.11 (+9%).

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# The probability-blended target implies 22% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -22% from the $433.42 reference price.

**$337.51**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2025E) | **$132.43B** |
| Valuation horizon | **2026-2030** |
| Live WACC | **8.90%** |
| Terminal growth | **0.0%** |
| Net debt | **$2.00B** |
| 2030 FCF (Base) | **$8.71B** |
| 10-year Treasury yield | **5.1%** |
| Beta | **0.56** |
| Equity risk premium | **3.4%** |

**HOLD, VALUATION CONCERNS | $337.51 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.4%. at/above Bull (2%) — euphoric

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| +0% | $98.2B | $333.99 | +20% | $189.5B | $651.32 | +40% | $336.2B | $1,160.76 |
| +1% | $101.7B | $346.21 | +21% | $195.4B | $671.71 | +41% | $345.3B | $1,192.44 |
| +2% | $105.3B | $358.78 | +22% | $201.4B | $692.59 | +42% | $354.6B | $1,224.76 |
| +3% | $109.0B | $371.69 | +23% | $207.6B | $713.97 | +43% | $364.1B | $1,257.76 |
| +4% | $112.8B | $384.96 | +24% | $213.8B | $735.84 | +44% | $373.8B | $1,291.42 |
| +5% | $116.8B | $398.59 | +25% | $220.3B | $758.23 | +45% | $383.7B | $1,325.77 |
| +6% | $120.8B | $412.60 | +26% | $226.9B | $781.13 | +46% | $393.8B | $1,360.81 |
| **+7%** | **$124.9B** | **$426.97** | +27% | $233.6B | $804.56 | +47% | $404.1B | $1,396.55 |
| +8% | $129.2B | $441.74 | +28% | $240.5B | $828.52 | +48% | $414.6B | $1,433.00 |
| +9% | $133.5B | $456.89 | +29% | $247.6B | $853.02 | +49% | $425.3B | $1,470.17 |
| +10% | $138.0B | $472.43 | +30% | $254.8B | $878.08 | +50% | $436.2B | $1,508.07 |
| +11% | $142.6B | $488.38 | +31% | $262.2B | $903.69 | +51% | $447.3B | $1,546.71 |
| +12% | $147.3B | $504.75 | +32% | $269.7B | $929.87 | +52% | $458.6B | $1,586.09 |
| +13% | $152.1B | $521.53 | +33% | $277.4B | $956.63 | +53% | $470.2B | $1,626.24 |
| +14% | $157.1B | $538.73 | +34% | $285.3B | $983.97 | +54% | $482.0B | $1,667.15 |
| +15% | $162.2B | $556.37 | +35% | $293.3B | $1,011.90 | +55% | $494.0B | $1,708.84 |
| +16% | $167.4B | $574.45 | +36% | $301.5B | $1,040.43 | +56% | $506.2B | $1,751.32 |
| +17% | $172.7B | $592.98 | +37% | $309.9B | $1,069.58 | +57% | $518.7B | $1,794.60 |
| +18% | $178.2B | $611.96 | +38% | $318.5B | $1,099.34 | +58% | $531.4B | $1,838.69 |
| +19% | $183.8B | $631.41 | +39% | $327.3B | $1,129.73 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $62.73B | — | 0.0% | -$2.00B | $60.73B | **$210.98** |
| **Base** | $97.71B | — | 0.0% | -$2.00B | $95.71B | **$332.47** |
| **Bull** | $138.48B | — | 0.0% | -$2.00B | $136.48B | **$474.11** |

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## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $229.55 | $229.55 | $228.95 | $227.10 | $225.53 | $224.25 |
| **Base** | $361.74 | $361.74 | $362.13 | $361.13 | $360.13 | $359.15 |
| **Bull** | $515.86 | $515.86 | $519.33 | $520.88 | $521.67 | $521.62 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $337.51 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

97% refinery utilization; Gulf Coast and North Atlantic throughput records

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Low-cost Gulf Coast footprint with scale advantage over smaller refiners

## Revenue and margin trend

| METRIC | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| **Revenue** | $114B | $176B | $144B | $130B | $123B |
| **Net Margin** | 0.9% | 6.5% | 6.1% | 2.1% | 1.9% |
| **Throughput (Mbpd)** | 2.85 | 2.96 | 3.02 | 2.95 | 3.00 |

## Valuation cross-check

NTM P/E 9.4x

DCF Base $332.47 vs $433.42 spot

PEG 1.91

Low P/E reflects peak earnings. DCF implies 23% downside to base; bull case $474.11 is the upside bound.

MPC, PSX similar single-digit NTM P/E

In line with refining peers; the whole group is priced for peak margins.

Trading at the high end of historical price range

Typical late-cycle positioning: price highs coincide with earnings highs.

## What to monitor

**Oct/Nov 2026.** Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

**2026-2027.** Diesel crack spreads and refinery outage duration determine margin persistence.

**2027.** Renewable diesel and low-carbon projects diversify the earnings base.

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## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| 2022 | $176.4B | $16.8B | $15.8B | $18.3B |
| 2023 | $144.8B | $12.9B | $11.9B | $15.1B |
| 2024 | $129.9B | $4.8B | $3.8B | $7.0B |
| 2025 | $122.7B | $5.4B | $4.3B | $6.7B |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| 2022 | $61.0B | $35.5B | $23.6B | $4.9B |
| 2023 | $63.1B | $34.5B | $26.3B | $5.4B |
| 2024 | $60.1B | $32.6B | $24.5B | $4.7B |
| 2025 | $58.0B | $31.4B | $23.7B | $4.7B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| 2022 | $12.6B | $-1.7B | $-8.8B | $10.9B |
| 2023 | $9.2B | $-911M | $-6.9B | $8.3B |
| 2024 | $6.7B | $-907M | $-5.0B | $5.8B |
| 2025 | $5.8B | $-796M | $-4.2B | $5.0B |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $337.51 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.42% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $5.68M of sales, a net flow of -$5.68M. One-year total shareholder return is +167.8% against CEO total pay of $7.63M (Mr. R. Lane Riggs), which the model scores as PERFORMANCE EARNED.

**42**
AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 2 / 40 | 0.42% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $5.68M (3), net -$5.68M, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +167.8%; Mr. R. Lane Riggs, CEO, President & Chairman, total pay $7.63M |
| **Agency Risk Score** | **42 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-06-29** | Fisher Eric A | Officer | SELL | 7,500 | $2.01M |
| **2026-06-18** | Fisher Eric A | Officer | SELL | 7,500 | $1.78M |
| **2026-05-18** | Fisher Eric A | Officer | SELL | 7,500 | $1.89M |

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## SEC proxy audit, DEF 14A filed 2026-03-19

**Alignment grade B.** DATA NOT IN EXCERPT. R. Lane Riggs, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

The provided proxy filing excerpt cuts off before the Summary Compensation Table and CD&A pay disclosure tables. Operational and financial highlights indicate strong 2025 performance, including diluted EPS of $7.57, record refinery mechanical availability, and $4.0 billion in capital returned to stockholders. However, exact executive compensation figures and committee pay-for-performance outcomes cannot be quantified from this section alone.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1035002/000162828026019806/vlo-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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## The bear case

### Margin Mean-Reversion

Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize.

### Operational Volatility

Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently.

### Energy Transition

Long-term demand erosion from EVs and renewable fuels pressures the terminal value.

## The strengths

### Operating Quality

Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.

### Recent Trend

Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.

### Forward Growth

Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.

### Valuation

At $433.42 vs $332.47 DCF base, the stock is 30% above fair value but below the $474.11 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.

## Cascadia scorecard

**Composite score 66: Attractive.** Confidence High, as of 17-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry. | 70 |
| **Recent Trend** | Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent. | 95 |
| **Forward Growth** | Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction. | 50 |
| **Valuation** | At $433.42 vs $332.47 DCF base, the stock is 30% above fair value but below the $474.11 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak. | 55 |
| **Catalysts & Risk** | Q3 earnings should be a record, but expectations are now sky-high. Margin mean-reversion is the dominant risk. Geopolitical disruptions cut both ways. Neutral skew at best. | 60 |

## Investment view

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

**Investment view: Hold, Valuation Concerns. The $337.51 blended target implies -22%, balancing the $210.98 / $332.47 / $474.11 Bear / Base / Bull outcomes.**

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